SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 4

# Business Markets (B2B) & Business Buyer Behavior

Business buyers differ from consumers: few but large, decisions by many people (the buying center), formal processes, and risk matters a lot. This week covers B2B market traits, influences, buying situations, the business buying process and B2B Elements of Value. The case is close to home: WIKA selling to Antam while in selective default.

## Material

### 1 What business markets are and how they differ

Business markets buy to produce other goods/services; volumes dwarf consumer markets. Traits: fewer, larger buyers; derived, inelastic and fluctuating demand; interdependence; professional, informed buyers. B2B segmentation uses industry, size, location, purchasing approach, situational factors and buyer characteristics.

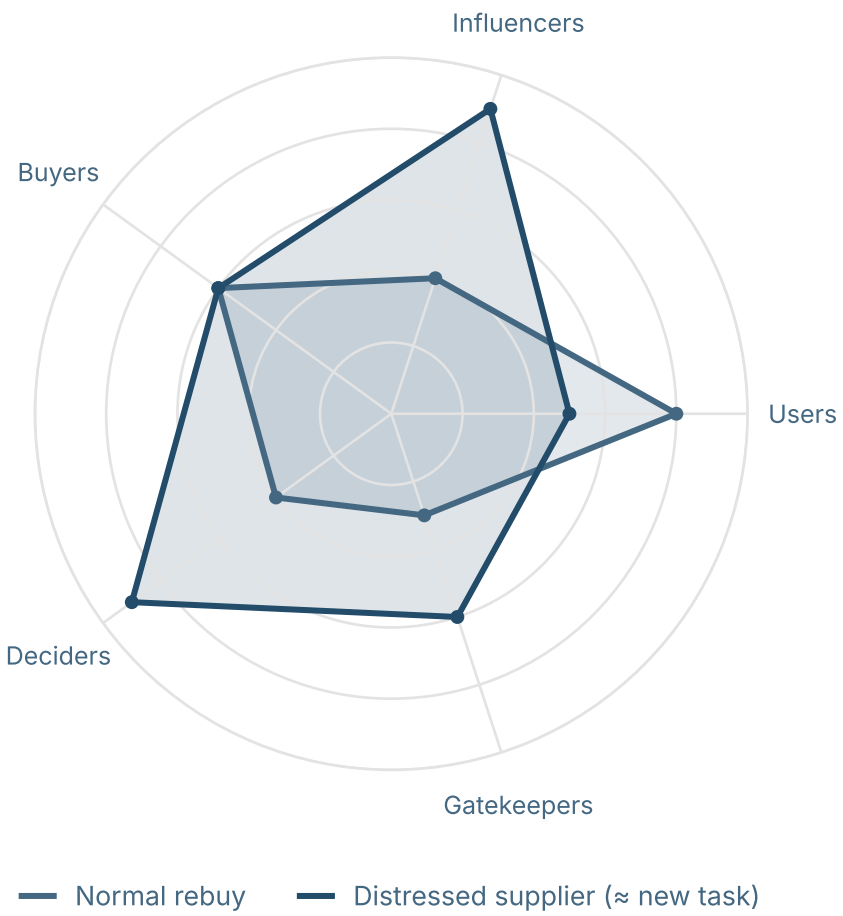
### 2 The buying center: who's involved

**Buying center** roles: users, influencers, buyers, deciders, gatekeepers. Classic error: building ties only with users while others decide. Economic factors (price, service) and personal factors (emotion, personal risk, reputation) both count.

## 3 The buying center in an EPC tender: who holds which vote

Deep dive

**Role influence: healthy incumbent vs distressed supplier (conceptual)**




Conceptual: power shifts to risk-focused influencers and deciders.

| Role | Concern | WIKA message |
|---|---|---|
| Users | Quality, timing | Track record |
| Influencers | Counterparty risk | Mitigation plan |
| Buyers | Terms | Contract structure |
| Deciders | Survival over 25 months | Financing certainty |
| Gatekeepers | Compliance | Transparency |

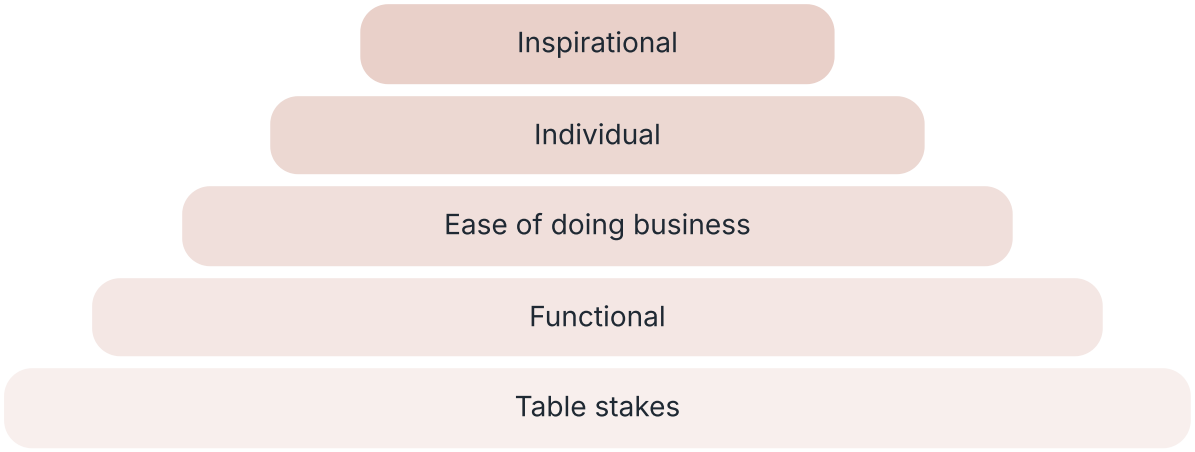
## 4 Influences, buying situations and process

Influences: environmental, organizational, interpersonal, individual (incl. risk attitude). Situations: straight rebuy, modified rebuy, new task. Process: problem recognition → general need → specification → supplier search → proposals → selection → order routine → performance review.

## 5 The B2B Elements of Value (Almquist et al., HBR 2018)

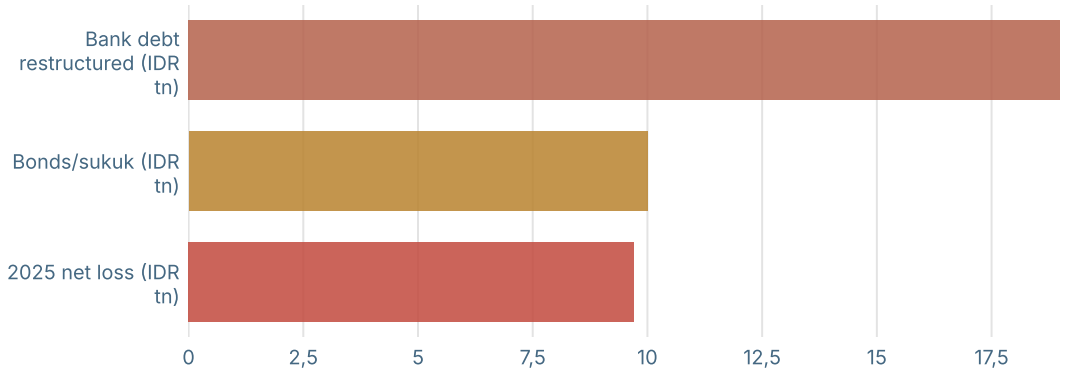
Bain's **40 B2B elements** form a pyramid: table stakes (specs, price, compliance, ethics) → functional (economic, performance) → ease of doing business (productivity, access, relationship, operational, strategic incl. reduced risk and stability) → individual (reduced anxiety, reputational assurance, career) → inspirational (vision, hope, social responsibility). B2B decisions aren't purely rational; personal elements often decide close contests, and risk/stability dominate when a supplier is in doubt.

## 6 The B2B Elements of Value pyramid Deep dive




Individual value (career risk) often decides B2B purchases; for WIKA, risk reduction is critical.

**WIKA's financial position as the buying center sees it**




## Key takeaways

1. B2B: few large buyers; derived, inelastic, fluctuating demand.
2. Buying center: users, influencers, buyers, deciders, gatekeepers.
3. Influences: environmental, organizational, interpersonal, individual.
4. Situations: straight rebuy, modified rebuy, new task.
5. B2B elements: table stakes → functional → ease of business → individual → inspirational.
6. B2B decisions are emotional too: reduce anxiety, protect reputations.
7. When a supplier is in doubt, reduced risk and stability beat technical skill.

## Case studies

Case & worked answers

### WIKA & the Building EPC Champion Program (2026): selling to a risk-sensitive buying center

**Situation:** WIKA bids for Antam's sixth EPC tender with strong user satisfaction but in selective default, shares suspended, a ~IDR 9.7tn 2025 loss and a second restructuring, now ~90% owned by Danantara. Can it finance and finish a 25-month contract?

**Analysis:** a habitual rebuy is shifting toward new-task scrutiny; WIKA's evidence comes only from users while deciders (finance, risk committee, perhaps Danantara) are unreached; buyers are concentrated and well informed; individuals fear blame — reduced anxiety and reputational assurance now decide; WIKA is weak precisely on reduced risk and stability.

**Disclosure:** be proactive with verifiable mitigants (Danantara backing, first-stage restructuring, second-stage plan, new contracts, non-core divestments).

**Structural fixes:** performance and advance-payment bonds, ring-fenced project accounts, milestone payments, Danantara comfort letters or a consortium with a healthy partner; map and reach the buying center with role-specific materials; fix quality supervision and preventive planning; move BD toward cross-functional key account management. Supplier solvency is an unspoken precondition in B2B.

## Practice questions

Try answering first. The answer key is below each question.

**1. The role controlling information flow is…**

A. Users
B. Deciders
C. Gatekeepers
D. Influencers

**Answer: C.** Gatekeepers.

**2. A distressed incumbent shifts the buy situation towards…**

A. Straight rebuy
B. New task
C. No change
D. Impulse

**Answer: B.** More people, deeper evaluation.

**3. The base of the B2B pyramid is...**

A. Inspirational
B. Table stakes
C. Individual
D. Ease

**Answer: B.** Specs, fair price, compliance, ethics.

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**4. B2B demand is derived demand, meaning...**

A. Set by ads
B. Comes from end-consumer demand
C. Always stable
D. Unaffected by the economy

**Answer: B.** Smelters follow nickel demand.

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**5. Why isn't satisfaction from Antam's project managers enough?**

A. They aren't users
B. Deciders and risk influencers now decide
C. Past projects failed
D. Price too low

**Answer: B.** Counterparty risk changed.

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**Sources**

- -P3MD- Week 4-MK3.pdf
- WIKA and the Building EPC Champion Program (SBM-ITB)
- The B2B Elements of Value (HBR)
- Kotler & Armstrong bab 6